

OCR AS and A Level Economics (H060, H460) Topic Questions

Question Paper

Main Topic

Macroeconomics (Component 02)

Sub-Topic

Implementing Policy

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**To be used by all students and teachers for
OCR AS and A Level Economics (H060, H460),
for exams from 2025 onwards.**

Students and teachers of other boards may also find this useful

Name : _____

Date : _____

Time : _____

Total Marks Available : _____

Total Marks Received : _____

- 1 In 2014 a new term 'lowflation' was invented by Simon Kennedy of Bloomberg News. He defined it as a situation where prices are rising but not fast enough to provide the benefits delivered by higher inflation. A number of economists and economic institutions now use the term. The International Monetary Fund, for instance, employs the term to describe disinflation with a risk of deflation.
- 5

Lowflation may mean that inflation is below any target set by the government or central bank of a country. Table 1 shows the target rate for inflation, the inflation rate and the nominal interest rate of five countries in 2015.

Table 1 – Inflation target, inflation rate and interest rate for selected countries, 2015

Country	Inflation target (%)	Inflation rate (%)	Interest rate (%)
Mexico	3 +/- 1	2.6	6.1
Russia	4.5	15.3	10.2
South Africa	3 – 6	4.7	9.6
Turkey	5 +/- 2	7.6	11.1
UK	2 +/- 1	0.1	1.8

- The main policy tool used by central banks to keep inflation within target is the rate of interest.
- 10 In some circumstances, central banks use quantitative easing to inject money directly into the economy and to help firms find it easier and cheaper to borrow from a range of financial institutions. A possible effect of quantitative easing is to increase the amount of money in commercial banks and so banks' ability to lend. The Bank of England has also used forward guidance to influence expectations about future levels of interest rates.
- 15 As Table 1 shows the rate of inflation experienced varied between countries in 2015. A number of countries, including Japan, the UK and the USA experienced lowflation. There was concern in these countries that they might experience a deflationary spiral such as that shown in Fig. 1.

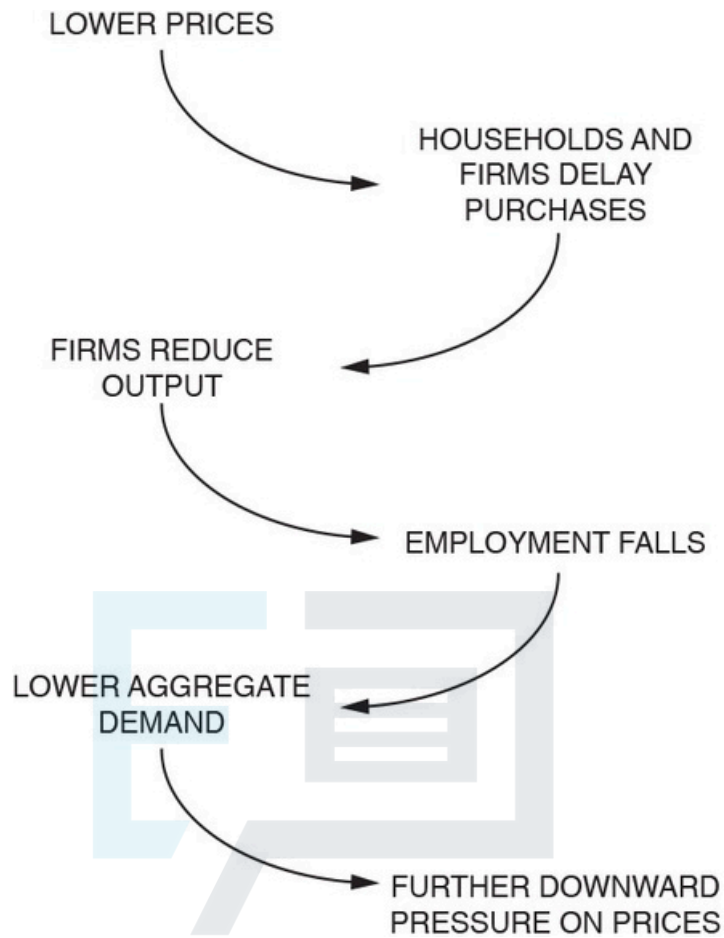


Fig. 1 – The deflationary spiral

Other countries experienced high inflation in 2015. A number of these were commodity exporters which were affected by the fall in the price of commodities which tend to have price inelastic demand. For instance, several oil exporting countries saw their price level rise as a result of the fall in the price of oil and the resulting impact this had on their exchange rates.

Inflation can have a number of effects on an economy. One of these is that it can redistribute income. Fig. 2 shows the Lorenz curves for three countries in 2014.

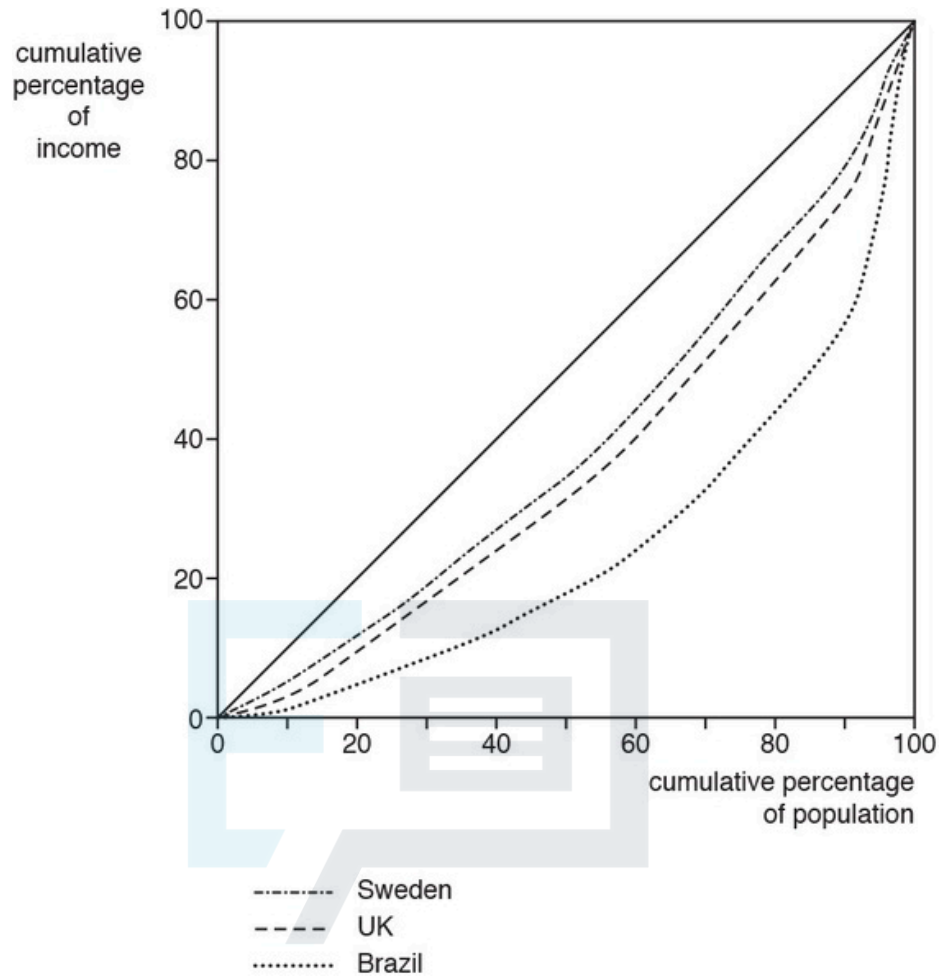


Fig. 2 – Lorenz curves for Brazil, Sweden and the UK, 2014

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Please read the extract above or refer to insert H460-02 June 2017, Lowflation, which can be downloaded separately.

(i) Using Table 1, calculate which country had the highest real interest rate in 2015.

Country _____

_____ [1]

(ii) Using Table 1, explain which central bank would have been most likely to have engaged in quantitative

easing.

[3]



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2 * It was estimated that Greece had an output gap equivalent to 10% of potential GDP in 2015.

Evaluate, with the use of an appropriate diagram(s), whether fiscal policy will always reduce a negative output gap.



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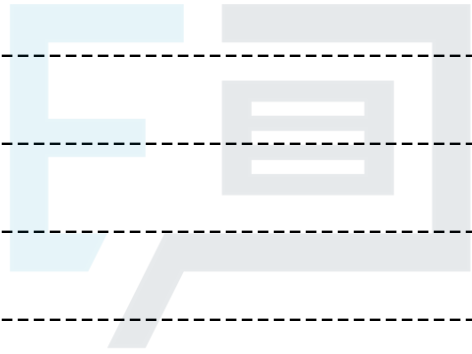
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[25]

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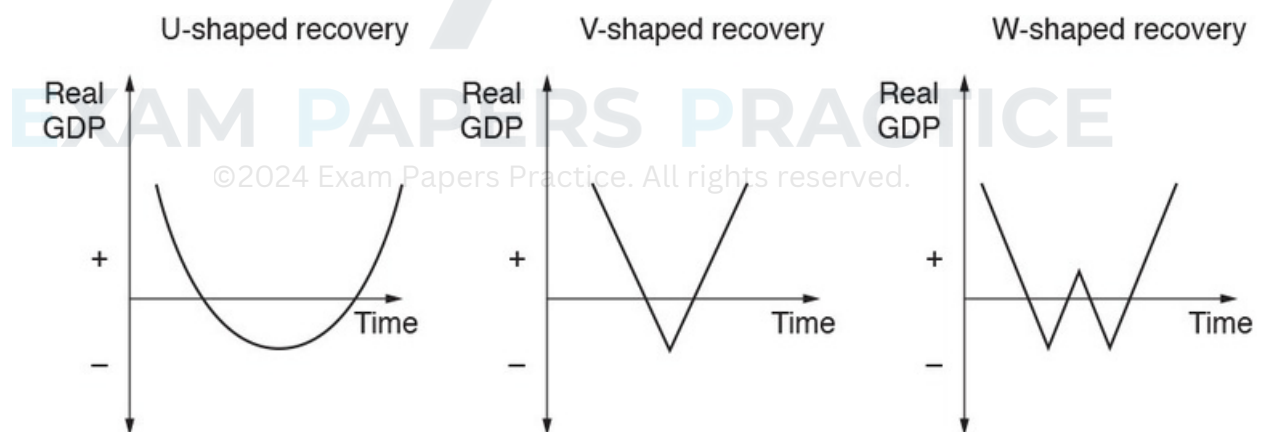
The Icelandic economy

In the last two decades the Icelandic economy has experienced some significant changes in economic activity. One influencing factor has been changes in the standard rate of income tax. The rate was cut in a number of stages from 46% to 36% in 2006. Despite the lower income tax rate, government income tax revenue rose, allowing the government to spend more on the country's infrastructure. In 2009 and 2010 the income tax rate was increased.

In the period 2008 to 2011, the economy experienced a serious recession. The country's three largest banks were allowed to fail. It was the third largest bankruptcy in history and, according to the size of the economy, the biggest banking failure in history. The value of the country's stock market fell by 95%, the currency declined in value by 60%, unemployment increased by 8% and inflation rose to 12%.

From 2011 the economy has made a remarkable recovery. In 2014 its real GDP was US\$14.85bn and it grew by 4% in 2015, one of the fastest rates in Europe. Economists have developed an 'alphabet' of recoveries with the three most common types shown in Fig. 1.

Fig. 1 Different types of economic recovery



In 2015 the Icelandic government was paying back its loans to the International Monetary Fund early. It had removed capital controls and had reformed the country's financial sector. A number of the country's industries were expanding, most noticeably its tourist industry. Income from tourism can fluctuate significantly. In 2015 the total contribution of Iceland's tourist industry to the country's GDP was 23%. The impressive growth of Iceland's tourist industry was contributing to a fall in unemployment due to a rise in hotel construction, and an increase in infrastructure, although this was also putting pressure on house prices as people were buying them to rent out to tourists. In 2015 the unemployment rate was 5.3%, which was lower than in many European countries, but it was predicted to rise in 2016.

For a small country with a population of only 0.33 million in 2014, Iceland has a relatively high HDI value. Fig. 2 shows some details of the HDI values of six countries.

Fig. 2 The Human Development Index of six selected countries

Country	HDI ranking 2014	HDI value 2014	GNI per capita (US\$) 2014
Norway	1	0.944	64,992
Australia	2	0.935	42,261
Germany	6	0.916	43,918
USA	8	0.915	52,947
UK	14	0.907	39,267
Iceland	16	0.898	35,182

- 25 As Iceland's economy has grown, so has the country's aid for developing countries. In 2013, for instance, its foreign aid budget increased by 27.8%.



[3]

- (b) * Evaluate whether an increase in the aid Iceland provides to developing countries would benefit the Icelandic economy.



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- 4 * Some economists argue that attempts by the Greek Government to reduce its budget deficit have contributed to the rise in the country's unemployment rate.

Evaluate the extent to which government policy measures to reduce a budget deficit will increase unemployment.



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5 In which circumstance would supply side policy be likely to be most effective?

- A The economy is in recession
- B The economy is operating close to full capacity
- C There is a large negative output gap
- D There is risk of deflation occurring

Your answer

☐

[1]

6 Which of the following explains how and why a central bank carries out the policy of quantitative easing?

- A Purchases financial assets to prevent inflation falling below target
- B Purchases financial assets to prevent inflation rising above target
- C Sells financial assets to prevent inflation falling below target
- D Sells financial assets to prevent inflation rising above target

Your answer

☐

[1]

7 Which of the following is most likely to reduce uncertainty amongst economic agents?

- A A central bank adopting a formal inflation target
- B A reduction in the basic rate of income tax
- C Moving from a fixed to floating exchange rate system
- D Zero hours contracts being introduced in the public sector

Your answer

☐

[1]

8 What does the Laffer Curve show?

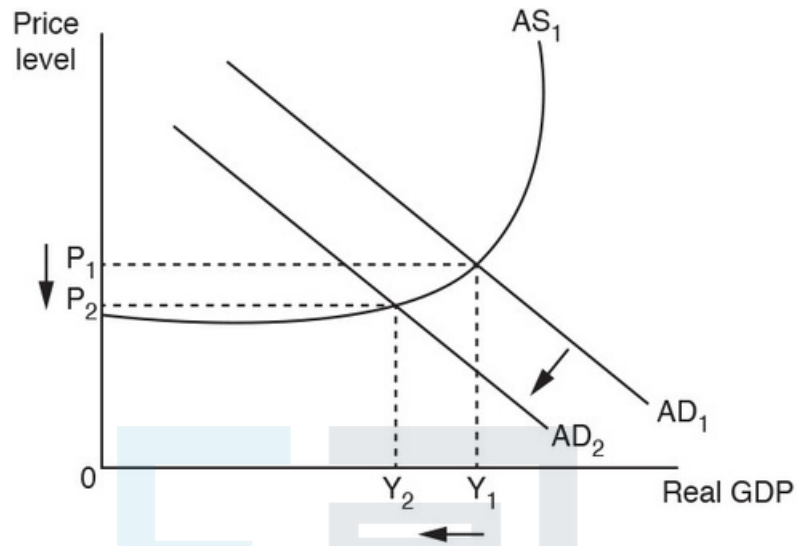
- A Tax revenue will remain constant as the tax rate increases.
- B The correlation between the tax rate and tax revenue changes as the tax rate increases.
- C There is a negative correlation between the tax rate and tax revenue.
- D There is a positive correlation between the tax rate and tax revenue.

Your answer

☐

[1]

9



Which of the following is the most likely explanation of what is shown in the diagram above?

- A An improvement in the availability and affordability of childcare
- B An increase in the basic rate of income tax
- C A reduction in the interest rate
- D Research & development subsidies

Your answer

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[1]



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- 10 Please refer to insert H460-03 June 2017, Housing, which can be downloaded separately and is also included with Question 31.

Using the information in Extract 2, explain the impact on the government's budget position in the short run and the long run of the HS3 rail project.

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[4]

- 11 In August 2016 the Bank of England's Monetary Policy Committee announced it was cutting the base rate of interest from 0.5% to 0.25% and extending its programme of quantitative easing. What is likely to happen as a result of this decision?

- A Decrease in government tax revenue
- B Decrease in inflationary pressures
- C Exchange rate depreciation
- D Increase in marginal propensity to save

Your answer

[1]



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- 12 Please refer to insert H460-03 June 2018, Olympic Games, which can be downloaded separately and is also included with Question 31.

Evaluate, using the information in Extract 2, the extent to which hosting an Olympic Games has a positive impact on the government's macroeconomic policy objectives.

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- Evaluate the effectiveness of changes in the tax and benefit system in reducing the level of income inequality in the UK.



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- 14 * Despite decades of positive economic growth in the U.K., a more equal distribution of income remains a major economic objective of the U.K. government.

Evaluate the effectiveness of changes in the tax and benefit system in reducing the level of income inequality in the U.K.



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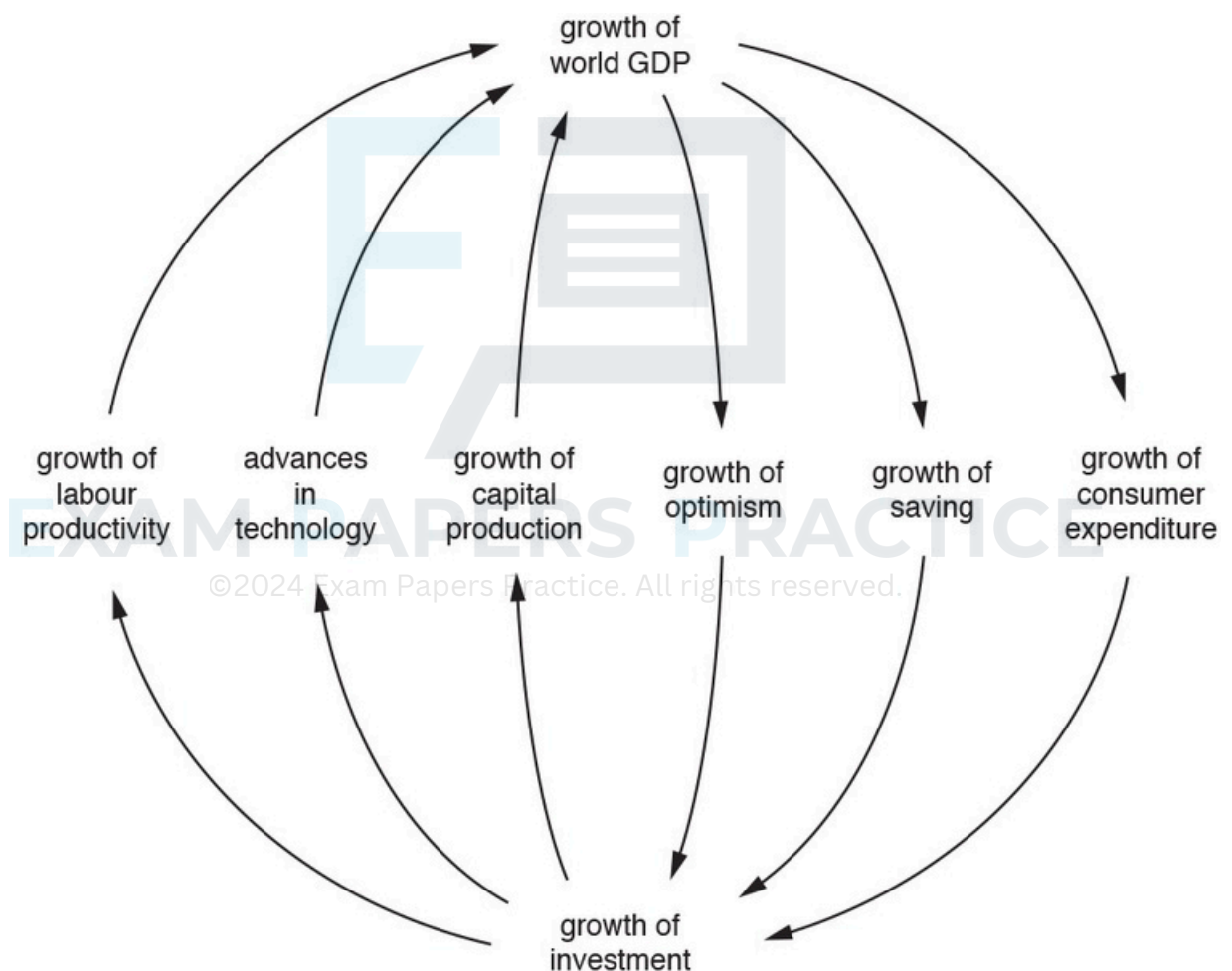


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Trade wars were threatening the process of globalisation in 2018 and were restricting the ability of countries to exploit their comparative advantage and their absolute advantage. In the years before, advances in production and communication technology had lowered production and transport costs, had increased the ability of firms to move production around the world and increased the size of firms' markets.

World trade increased by 3.2% in 2017. This contributed to a growth in world GDP. Higher GDP can result in a virtuous circle as shown in Fig. 1.

Figure 1 A virtuous circle



- While the benefits of globalisation are widespread, the costs are often concentrated in particular areas and among those unskilled workers who are geographically and occupationally immobile.
- 10 One of the reasons why the US government imposed tariffs on steel imported from China was to protect the jobs of US steel workers.

Some economists are also concerned that globalisation can result in governments engaging in tax competition to keep firms and skilled workers in the country and to attract foreign MNCs and

foreign skilled workers into the country. Table 1 shows government tax revenue and expenditure
15 for selected countries in 2017.

Table 1 Government tax revenue and government expenditure 2017

Country	Government tax revenue (US\$ billion)	Government tax revenue as a % of GDP	Government expenditure (US\$ billion)
China	2672	22.4	3146
Germany	1598	43.8	1573
India	249	10.2	330
Ireland	85	26.2	87
Russia	254	17.3	288
UK USA	984	38.4	1076
	3336	22.0	3991

International competition may, on the other hand, encourage governments to spend more on education, training and health care to increase productivity and so attract foreign direct investment. Table 2 shows the corporate tax rates and the foreign direct investment attracted by the same selected countries.

Table 2 Corporate tax rates and foreign direct investment 2017

Country	Average corporate tax rate (%)	Foreign direct investment per head (US\$)
China	25.	1098
Germany	0	17 963
India	29.	287
Ireland	8	295 400
Russia	34.	3378
UK USA	6	30 852
	12.	12 489

20 The UK economy is more affected by changes in the global economy than the USA. This is
because it is a more open economy. The UK has a relatively high marginal propensity to import.
Between 2016 and 2017, average UK household income rose from £26 300 to £27 400 while
average household spending on imports rose from £4950 to £5280.

The growth of the emerging economies, including China and India, is having an impact on the UK. For
25 instance, Chinese steel firms have captured some of the UK's steel industry's market at home



and abroad. Indian MNCs produced more than £26 billion of goods and services in the UK in 2016 and employed more than 100 000 workers in the UK.

Please refer to insert H460-02 June 2019 which can be downloaded separately and is also included above. Using Table 2, evaluate to what extent differences in corporate tax rates explain differences in foreign direct investment in countries.



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- Evaluate, with the use of an appropriate diagram(s), whether an increase in private sector investment will help a government achieve its macroeconomic objectives.



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17 * Cuts to welfare benefits of £2.5bn affected eleven million families in the UK in 2018.

Evaluate, with the use of an appropriate diagram(s), whether a cut in government spending on welfare benefits will increase income inequality.

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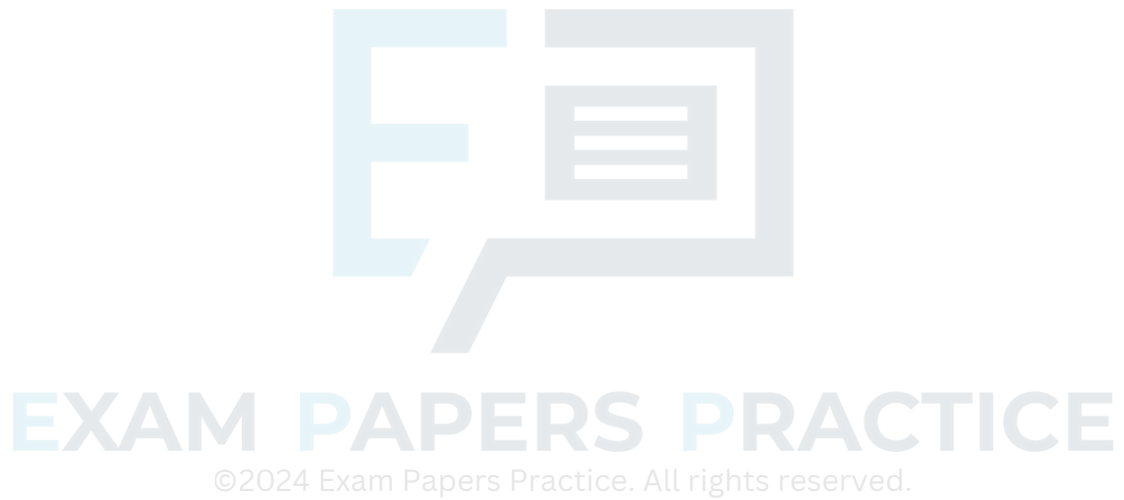
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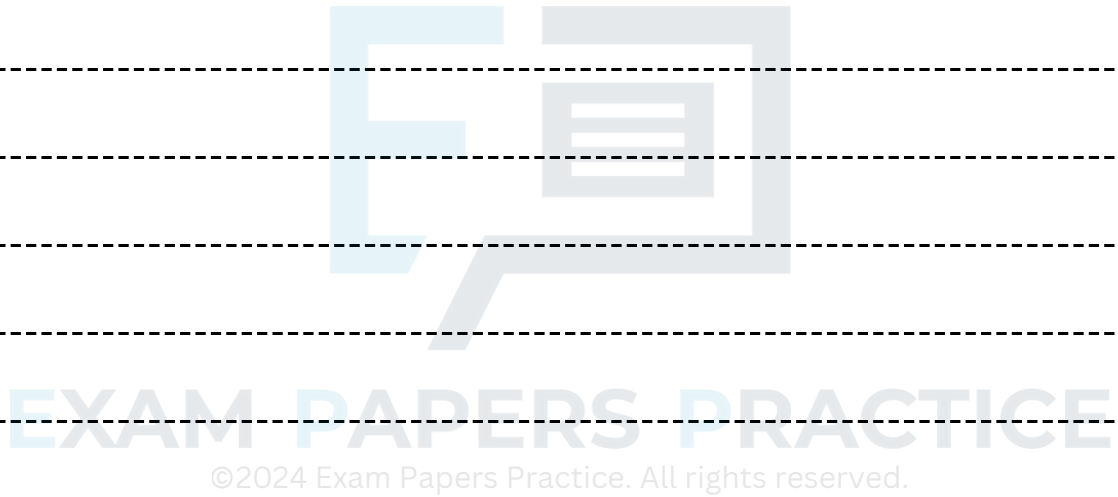
- 18 Please refer to insert H460-02 Specimen which can be downloaded separately and is included above.

* Evaluate the extent to which an emerging economy, such as India, can operate an independent monetary policy.



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[12]

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- 19 * The Labour Party announced in 2014 that, if elected, it would restore the 50% income tax rate for high earners in the UK.

Evaluate, with the use of an appropriate diagram(s), whether UK macroeconomic performance would be strengthened by an increase in the top rate of income tax.



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- 20 The table below outlines the income tax rates in the UK in 2016–17. What is the average tax rate of an individual earning £46 500?

Band	Taxable income	Tax rate
Personal Allowance	Up to £11 000	0%
Basic rate	£11 001 to £43 000	20%
Higher rate	£43 001 to £150 000	40%
Additional rate	over £150 000	45%

- A 16.8%
 B 20%
 C 21.5%
 D 40%

Your answer

[1]

- 21 Which of the following would decrease if the government decided to reduce the level of welfare benefits?

- A Dependency ratio
 B Participation rate
 C Replacement ratio
 D Working age population

Your answer

[1]

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Founded in 1948, the UK’s National Health Service (NHS) is arguably the world’s most comprehensive system of state provided free healthcare. Despite its budget today being ten times greater than it was when launched (in 1948 the NHS had a budget of £437 million, equivalent to £15 billion at today’s prices), it has faced significant pressures resulting from spiraling costs in recent years. Technological advancements in medicine alongside demographic changes have contributed to ever rising demand for healthcare that has put the system under increased strain.

In 2015 the government pledged to significantly increase healthcare expenditure as part of wide ranging reforms driven by a desire to deliver its flagship ‘7 day NHS commitment’, whereby patients would be able to access GP and hospital services in the evenings and at the weekend by 2020. The proposed changes to the budget are illustrated in Fig. 1.1.

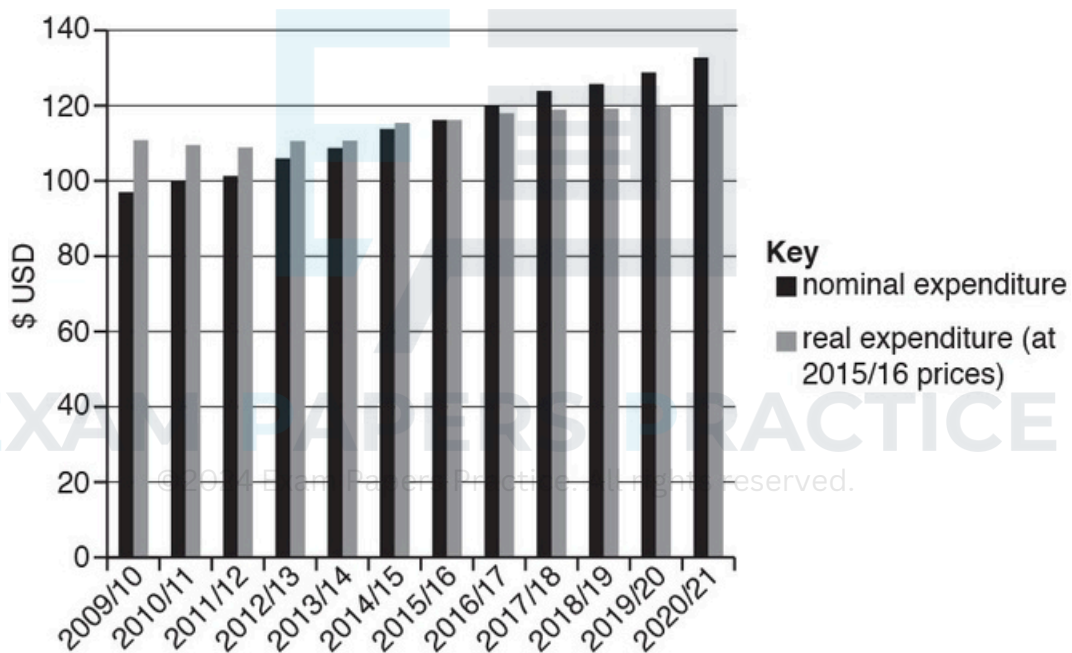


Fig. 1.1 – NHS expenditure historic (2009–2015) & projected (2016–2021)

These reforms included the introduction of new contracts for ‘junior doctors’, an umbrella term covering doctors for the first decade or so of their careers. The NHS employs more than 1.5 million people, putting it in the top five of the world’s largest employers. Many of its employees are doctors, with more than 150 000 doctors working in the NHS in 2016. The government initially proposed increasing the basic pay of junior doctors by 13.5% but cutting back on extra payments which, up until then, had significantly boosted doctors’ salaries, such as offering no additional payment for Saturday working.

In 2015 the British Medical Association (BMA), the trade union representing doctors, announced its intention to ballot its members for strike action having failed to reach an agreement with the government over the contract. Despite the government arguing the new contracts did not represent a pay cut, the BMA disputed this, whilst also

arguing the arrangements would result in its members enjoying a poorer work-life balance as a result of having to work more weekends.

Indeed, the BMA suggested the government was effectively abusing its position as a monopsony employer of doctors to introduce an unfair contract. This is a view supported by the real wage cuts experienced by doctors as a result of the fiscal austerity imposed from 2010, which goes against the traditional economic theory of derived demand.

Under the original contract, the starting salary for junior doctors started at about £23 000, with the average salary for these doctors standing at £37 000. This compares unfavourably with other high skilled professions such as law and banking in the private sector, where workers would expect to receive a salary of more than £50 000 a year early in their careers.

Following the first strike action by doctors in more than 40 years, in 2016 the BMA achieved some concessions from the government, including a pay rise for doctors working more than six weekends a year. Whilst the BMA could be said to have successfully overcome labour market failure, the debate surrounding the wages of doctors is still ongoing. An initial ballot of junior doctors suggested doctors were still unhappy with the proposals and, whilst there was generally a high level of support for doctors amongst the general public, some pointed to the vocational nature of the profession, as well as the high salaries on offer in the future (consultants can earn in excess of £100 000) as evidence that the strikes which caused such significant disruption to patients were unjustifiable.

Extract 2 – Global healthcare and economic development

Over 80% of healthcare expenditure in the UK is financed by the public sector. Whilst this is similar to many European nations it is not the same across the developed world; in countries like Singapore and the US, more than half of healthcare expenditure is accounted for by private spending. Economists would generally expect there to be a positive correlation between public healthcare expenditure and GDP per capita. The data for these variables for a range of countries is presented in Fig. 2.1.

Country	Public healthcare expenditure (as a % of GDP)	GDP per capita (\$USD)
China	3.07%	\$7925
India	1.41%	\$1582
Japan	8.53%	\$32 473
Nigeria	0.93%	\$2640
UK	7.56%	\$43 734
US	8.26%	\$55 837
Singapore	2.04%	\$52 889

Fig. 2.1 – Public healthcare expenditure and GDP per capita around the world

Indeed, underinvestment in healthcare in India has been seen as a crucial hindrance to its economic

development, with the World Health Organisation ranking India's healthcare system 112th out of 119 countries in 2000. This is partially reflected in the Human Development Index (HDI), where a score of 0.61 ranked India 130th out of 188 countries in 2015. This is significantly lower than India's ranking based on GDP per capita, where rapid economic growth rates in recent years have seen India climbing towards a position in the top half of nations.

However, some economists question the extent to which the HDI accurately measures human development, pointing to the fact that the politically volatile countries of Egypt and Iraq are placed above India in HDI rankings as evidence for this. Moreover, improvements in India's healthcare system as a whole in recent years, that have enabled it to climb up the HDI rankings, ignore the health inequality that still exists, with those in rural areas having little access to hospitals or clinics. This inequality is mirrored in education, with the average male enjoying twice as many years of schooling as the average woman in India.

Extract 3 – Wage differentials and international migration in healthcare

The dispute over junior doctors' contracts has brought into greater focus the different wages on offer in healthcare. Fig. 3.1 shows the average wages of a variety of occupations within the healthcare sector.

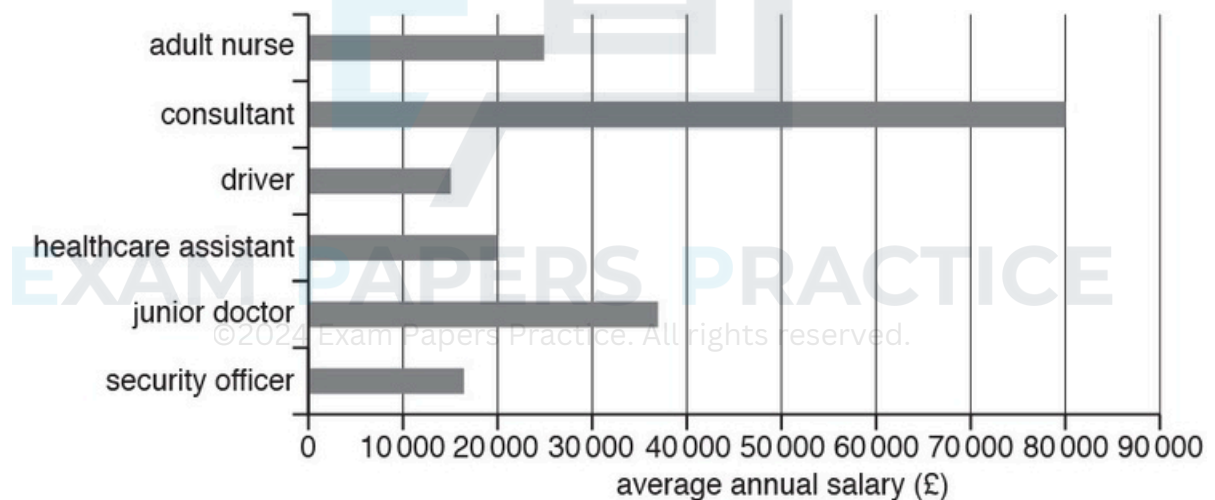


Fig. 3.1 – Average salaries in selected healthcare occupations

Throughout its history the NHS has relied on foreign workers to fulfill a range of roles. In 2016 more than a third of doctors practising in the UK were trained abroad. The main countries of origin of these doctors are detailed in Fig. 3.2.

Country	% of all UK registered doctors
UK	63.4%
India	9.7%
Pakistan	3.6%
South Africa	2.1%
Nigeria	1.6%

Ireland	1.5%
Germany	1.3%
Egypt	1.2%
Other	15.6%

Fig. 3.2 – Training location of UK registered doctors

Many of these migrant workers come from developing nations, such as India and Nigeria. Such workers are attracted by the better wages and working conditions on offer in the UK and often send a proportion of their wages back home to their family. Such remittances are particularly important to developing countries – in Tajikistan, remittances account for nearly 50% of GDP and represent a valuable inflow of foreign currency which helps to stabilise the balance of payments. However, research by the World Bank suggests that the unfairly high commission charged by banks and transfer unions on international transactions somewhat limits the benefit of remittances, with the average fee being 9%. Despite this being a well recognised problem of the global financial system, no action has been taken in the form of regulation to address it.

Please refer to insert H460-03 Practice 2 which can be downloaded separately and is included above. Using the data in Fig. 1.1, explain the trend in public healthcare spending between 2009 and 2021.

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[2]

- 23 During the 2016 US Presidential Campaign, one candidate proposed a reform to America's income tax system:

Current: Tiered system of seven tax rates, the lowest being a 10% rate on taxable income between \$0 - \$9,275, the highest being a 39.6% rate on taxable income exceeding \$415,000.

Proposal: 10% on all taxable income.

This proposal represents a change in the tax system from:

- A Progressive to Proportional
- B Progressive to Regressive
- C Regressive to Progressive
- D Regressive to Proportional

Your answer

[1]

24 In 2014-15 the UK government collected £652bn in tax receipts. Government expenditure was £748bn.

What does this represent?

- A A budget deficit
- B A budget surplus
- C A current account deficit
- D A current account surplus

Your answer

☐

[1]

25 An economy experiences a period of inflation but no change in real national income. The government does not change tax rates or tax allowances. In these circumstances, which type of tax is least likely to produce an increase in tax revenue?

- A A specific tax on alcohol
- B Corporation tax
- C Income tax
- D Value added tax

Your answer

☐

[1]

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The UK is under water

In the winter of 2013-2014 England saw some of the worst storms since records began. More than five million people were put at risk from flooding. Many of these were hit directly as their homes were flooded. Some businesses were also flooded and suffered a loss of customers and disruption to supplies. In the south of the country, in particular, infrastructure was badly disabled. Many business owners feared for their livelihoods. Only time will tell what the negative multiplier effect has been on those regions.

The Environment Agency was heavily criticised for its handling of the floods and much debate was had around the lack of government intervention; in particular, the merits of dredging rivers. However, in order to receive funding from the government, the Environment Agency has to demonstrate that a flood defence project will match a Cost Benefit Ratio of 1:8, i.e. for every £1 spent there needs to be at least an £8 return in avoided flood damage. In a Cost Benefit Analysis of flood defences, a business failure would be considered an economic cost, whereas prevention of business failure an economic benefit. Other considerations are the loss of agricultural output and supply-side consequences: health issues and social cohesion, as well as a loss of productivity.

It was claimed that there would have to be an annual £20m rise in the government's £600m flood defence budget, as well as any inflationary increase, just to maintain the UK's present level of protection. The government would need to consider the opportunity cost of this decision because of the trade-off between environmental protection expenditure and other forms of government spending.

Perhaps this type of extreme weather should not be a surprise to economic agents. In 2006 Lord Nicholas Stern from the London School of Economics published a report on the economics of climate change. This urged policy-makers to realise the negative externalities resulting from their patterns of production and consumption in order to reduce emissions. He considered that the total cost and risk of climate change could amount to the equivalent of losing at least 5% of global GDP each year

The storms and flooding of 2013/14 were unprecedented; costs to repair the damage were estimated at the time to be in the region of £1bn. However, Mark Carney, the Governor of the Bank of England, expressed his opinion that there would be a 'dent' in economic activity but it would not harm the overall recovery that the UK had started to experience during 2013.

Some economists argue that to truly address this market failure the government response needs to be wider than just flood prevention. It should consider the environmental damage that UK economic activity causes and how to limit such damage. The government currently uses a range of environmental taxes but their success in reducing the negative externalities of both

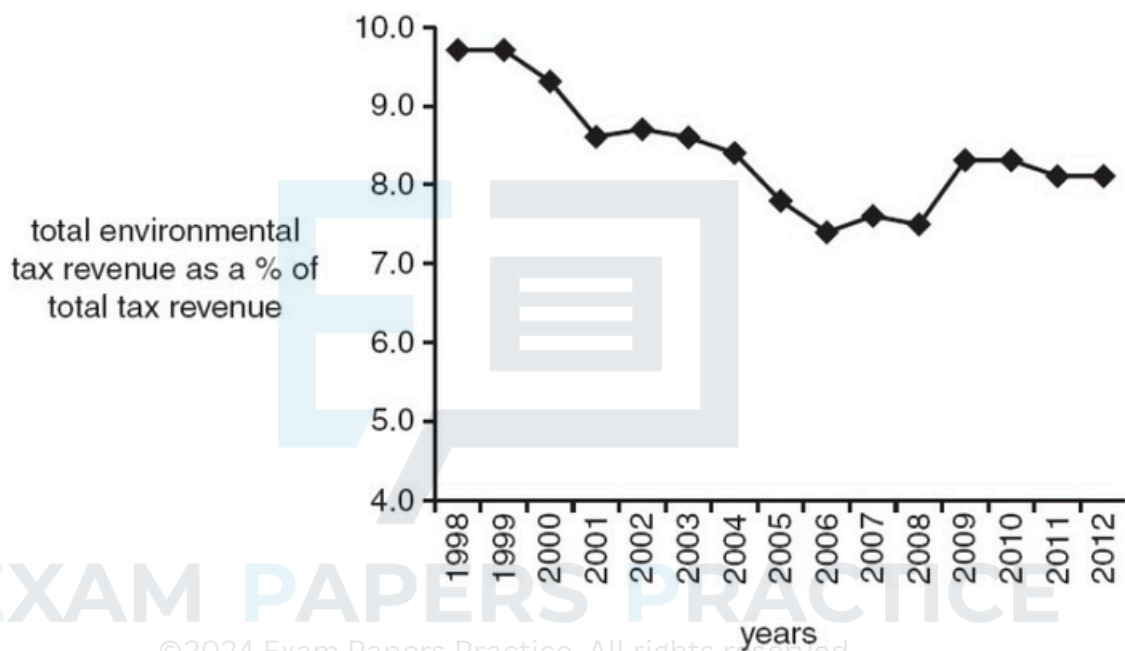
- 40 consumption and production has been questioned. Could further policies such as environmental standards be more effective at correcting market failure and the subsequent impact on economic efficiency for both micro and macroeconomic performance?

Extract 2

Environmental taxation in the UK

Fig. 2.1 shows UK government revenue from environmental taxation.

Fig. 2.1 – Environmental taxation as a percentage of UK government tax revenue, 1998–2012



Extract 3

How will we manage the rising demands for water?

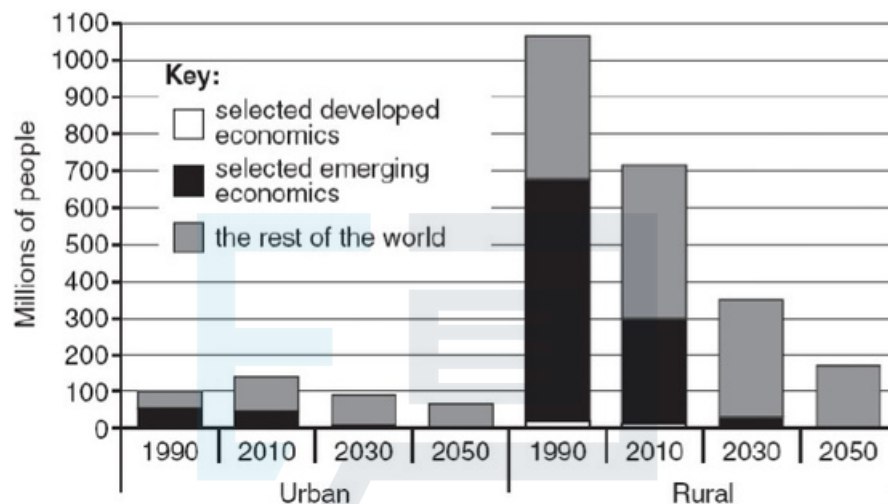
- While the UK experienced flooding, the Organisation of Economic Cooperation and Development (OECD) released a report which warned of the long term problems that will occur for the global economy due to a lack of water. The OECD Secretary-General warned that, 'Without major policy changes, we risk high costs to economic growth, human health, and the environment. But with sustainable financing, effective governance and coherent policies, governments can harness water's potential...'
- 5

- The report highlighted the global challenges posed by increasingly rapid urbanisation, population growth and changing economic dynamics for managing water supply. With water demand projected to increase by 55% by 2050, there will be increased rivalry and excludability for this increasingly scarce resource. By that date, it is predicted that:
- 10

- 3.9bn people – more than 40% of the world’s population – will be living in river basins facing severe water stress
- 15 • more than 240m people, most of them in rural areas, will lack access to a clean water source
- almost 1.4bn people will not have access to basic sanitation.

More information about the extent of these problems is shown in Fig. 3.1.

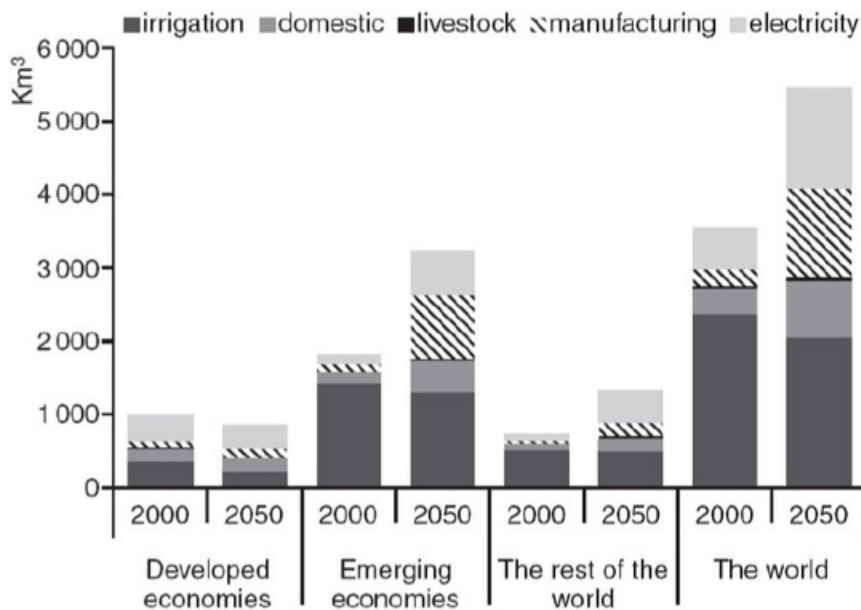
Fig. 3.1 – Population lacking access to a clean water source, 1990–2050



In addition, increased flows of nitrogen, phosphorus and pesticides from agriculture and poor wastewater treatment will contaminate ground water, rivers and oceans, harming the environment and human health.

- 20 As countries develop their economic structure will change, transitioning from relying on the primary sector, to manufacturing and then to tertiary. Over time a larger proportion of their Gross Domestic Product (GDP) is derived from manufacturing rather than agriculture and so their pattern of water demand (measured in km³) will change, as shown in Fig. 3.2.

Fig. 3.2 – Global water demand by use, 2000 and 2050*



**forecast*

- 25 Lifestyles and diets are becoming more westernised in the emerging economies. Average incomes are rising as a consequence of high rates of economic growth. As a result more and more people are consuming more and more water. Farmers are competing with households, energy firms and industry for clean water, but economic production continues to pollute making it harder to access sufficient clean water. A high volume of water consumption is just one
- 30 example of how economic growth has resulted in environmental degradation.

In 2014 the President of the World Bank gave a grave warning about the risks of natural resource conflicts, particularly water and food. While the UK saw record rainfall, California in the USA experienced the worst drought on record. It does not take much to remember the

- 35 spikes in global food prices that have occurred in recent years, as shown in Fig. 3.3. The President of the World Bank also said that there would be no solution to climate change without private sector involvement and urged companies to seize the opportunity to make profits.

Fig. 3.3 – World Bank food price index, 2008–2013

	Q1	Q2	Q3	Q4
2008	n/a	n/a	87	80
2009	90	95	93	97
2010	91	90	101	101
2011	120	123	123	115
2012	120	121	132	121
2013	116	117	112	n/a

- 40 Governments have long debated the best response to natural resource conflicts and

environmental damage. They have considered the merits of policy measures, including:

- environmental taxation
- pollution permits
- 45 • subsidies for innovation into greener technologies
- subsidies to encourage firms to recycle water.

Please refer to insert H460-03 Specimen which can be downloaded separately and is included above.

Using Fig. 2.1 and extract, describe the trend in environmental taxes as a percentage of total tax revenue between 1998 and 2012.

----- [2]

27 What can the government do to finance a budget deficit?

- A Devalue the exchange rate
- B Increase export subsidies
- C Issue government bonds
- D Reduce the money supply

Your answer

[1]

28 The data below shows key macroeconomic performance indicators for four countries.

	2016 Inflation Rate (CPI)	2016 Unemployment Rate (ILO)	2015 GDP Growth Rate	2016 GDP Growth Rate
Ireland	0%	8.1%	26.3%	5.2%
Malta	0.6%	5.3%	7.4%	5%
Ukraine	13.9%	8.9%	−9.8%	2.3%
United Kingdom	0.6%	4.8%	2.2%	1.8%

If an economist was judging the performance of these economies from the perspective of the UK government macroeconomic policy objectives, which would they decide performed best?

- A Ireland
- B Malta
- C Ukraine
- D United Kingdom

Your answer

[1]

29(a)

Will China be more successful than the UK?

In the first decade of the twenty-first century China saw a significant increase in both income and wealth. In the current decade, however, its economic growth rate has slowed. At the start of 2016, China's president, Xi Jinping, said that the government would concentrate on supply-side reform. He mentioned that the government would no longer try to promote economic growth by just relying on fiscal and monetary policy measures. It would be placing more emphasis on long-term structural change rates rather than short-term stimulus.

In the past China has used short-term demand management to increase consumer expenditure and investment. This has led to an increase in government spending which has had implications for the country's budget position. Table 1 compares the gross domestic product (GDP), government revenue and government expenditure of the six largest economies in 2014.

Country	GDP	Government revenue	Government expenditure
China	10.4	2.3	2.4
France	2.8	1.5	1.6
Germany	3.9	1.7	1.7
Japan	4.6	1.5	1.8
UK	3.0	0.9	1.1
USA	17.4	3.0	3.5

Table 1 - GDP, government revenue and government expenditure in US\$ trillion of the six largest economies in 2014

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The Chinese government is hoping that supply-side policy measures will increase the country's productivity. The UK economy has introduced a number of supply-side policy measures including deregulation, privatisation and tax cuts Fig.1 compares the UK's productivity growth with that of the six other G7 members. It shows after 2007 the gap between the actual growth in productivity and the predicted growth in productivity.

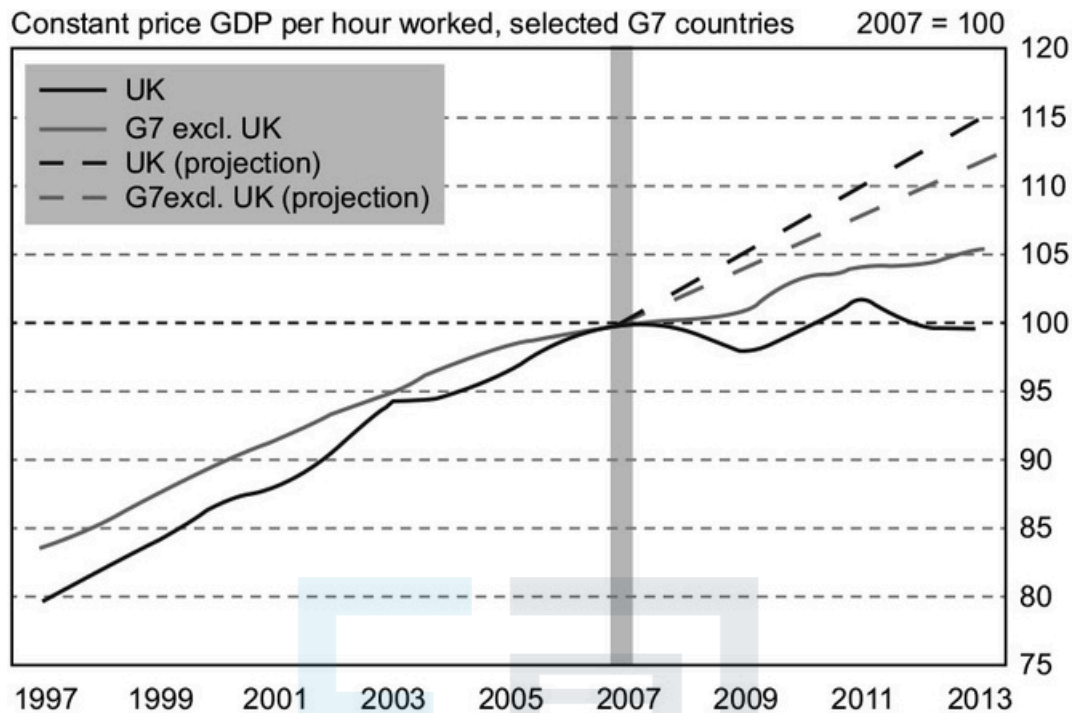


Fig. 1. A comparison of productivity growth in the UK and G7 1997 – 2013

Productivity is influenced by a number of factors including investment. In turn, there are a number of influences on investment including the level of savings. The amount of income saved varies from country to country. Some countries, including China have a relatively high average propensity to save. Others, including Denmark in recent years, have had a negative average propensity to save. Table 2 shows the average propensity to save of the G7 countries in 2014.

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Country	Average propensity to save
Canada	0.05
France	0.15
Germany	0.09
Italy	0.05
Japan	0.02
UK	0.06
USA	0.05

Table 2 - The average propensity to save in the G7 countries in 2014

Using Table 1, calculate whether Japan or the UK had the larger budget deficit as a percentage of GDP. State which country had the larger budget deficit as a percentage of GDP and give the budget deficit as a percentage of GDP.

Country _____

Percentage of GDP _____

[2]



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- 30 * The Venezuelan Government's attempts to promote economic growth are thought to have contributed to the country's inflation rate, which was predicted to reach 480% in 2016.

Evaluate, with the use of an appropriate diagram(s), whether macroeconomic policy measures can only promote economic growth at the cost of higher inflation.



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[25]

- 31 * The central bank of Kenya cut the country's interest rate twice in 2016. The first time it was followed by a fall in the value of the country's currency, the Shilling, but the second time its exchange rate appreciated.

Evaluate, with the use of an appropriate diagram(s), whether a reduction in a country's rate of interest would reduce its exchange rate.



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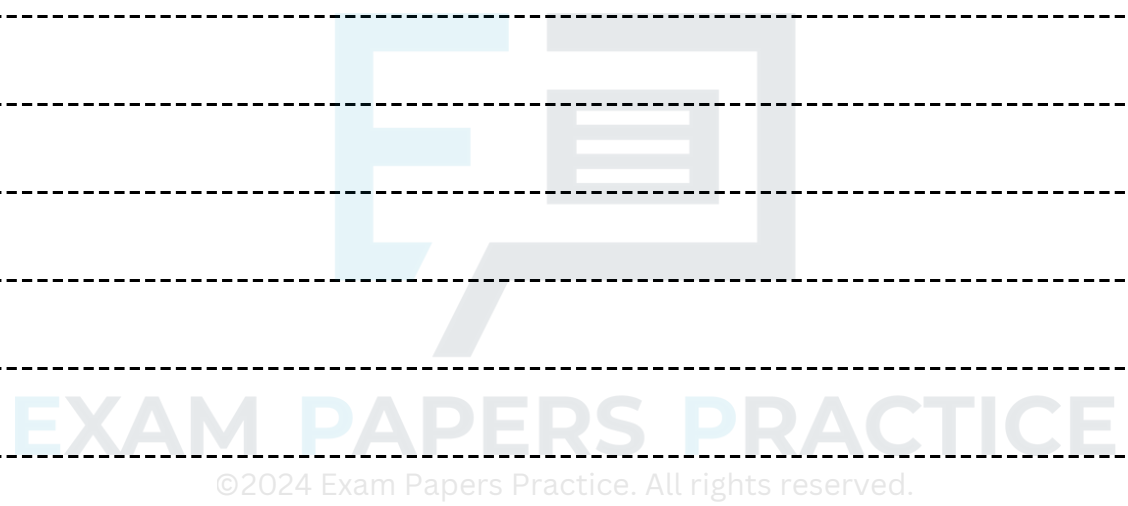
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32(a)

The UK's twin deficits

For some years now the UK has had a deficit on both its budget balance and on the balance of the current account of its balance of payments. In 2015 the budget deficit fell to 4.1% of GDP. This was the lowest deficit, in percentage terms, since 2007 but it was noticeably higher than the historical average of 2.5% of GDP. In October 2016 the Chancellor of the Exchequer announced that he was abandoning the objective of achieving a budget surplus by 2020. He also said he was prepared to borrow for public sector investment in infrastructure.

Changes in the budget position can influence activity in the labour market. Fig. 1 shows the stocks of employment, unemployment, economic inactivity and migration and the flows between them. For instance, the stock of unemployment (the number of people unemployed at any particular time) is affected by flows into and out of unemployment (some people becoming unemployed while others stop being unemployed).

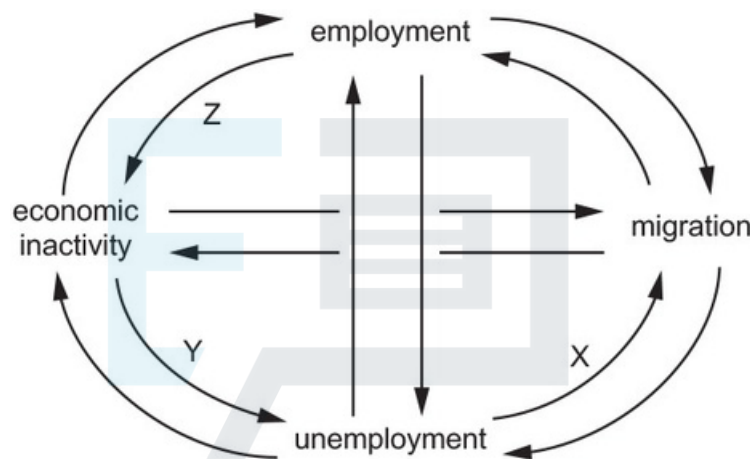


Fig. 1 Stocks and flows in the labour market

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The budget position, in turn, is influenced by a range of factors including the level of economic activity, the rate of interest and any tax reforms undertaken. A number of European countries have recently introduced flat rate tax systems. Fig. 2 shows when a flat tax was introduced in a number of European countries and how the rate of income tax changed due to the introduction and the rate in 2016.

Country	Tax rate(s) before introduction (%)	Year introduced	Initial tax rate after introduction (%)	Tax rate in 2016 (%)
Estonia	16–35	1994	26	21
Lithuania	18–33	1994	33	15
Latvia	25–10	1995	25	25
Russia	12–30	2001	13	13
Georgia	12–20	2005	12	20
Macedonia	15–24	2007	12	10
Czech Republic	12–32	2008	10	10

Fig. 2 Flat rate taxes on personal income (%) in selected countries

Changes in economic activity at home and abroad, the rate of interest and the exchange rate can also influence the current account position of the balance of payments. In 2015 the UK's current account deficit was £96.2 billion. This was the largest deficit as a percentage of GDP (5.2%) since annual records began in 1948 and the largest of the G7 countries. Fig. 3 shows some details of the UK's balance of payments position in 2014.

Current account balance	−£92.9 bn
Trade in goods	−£123.7 bn
Trade in services	£89.1 bn
Secondary income	−£25.2 bn
Capital account	−£0.8 bn

Fig. 3 Selected details of the UK's balance of payments 2014

The current account deficit has increased every year since 2011. One significant cause of this has been the rise in the deficit on primary income. Throughout the nineteenth century and the first half of the twentieth century the UK invested heavily abroad which resulted in a high yield of profits, interest and dividends. In more recent decades the UK has seen a net inflow of foreign investment. Multinational companies from a range of countries, including the USA, Germany, India and China have entered in a number of UK industries.

Identify one example of discretionary fiscal policy in the stimulus material and explain how it could affect aggregate demand.

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[2]

(b) Using information from the stimulus material, calculate the UK's budget deficit in pounds in 2015.

[2]



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- 33 * The Venezuelan Government's attempts to promote economic growth are thought to have contributed to the country's inflation rate, which was predicted to reach 480% in 2016.

Evaluate, with the use of an appropriate diagram(s), whether macroeconomic policy measures can only promote economic growth at the cost of higher inflation.



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[25]

- 34 * The central bank of Kenya cut the country's interest rate twice in 2016. The first time it was followed by a fall in the value of the country's currency, the Shilling, but the second time its exchange rate appreciated.

Evaluate, with the use of an appropriate diagram(s), whether a reduction in a country's rate of interest would reduce its exchange rate.

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[25]

35 What is an example of a supply side policy measure?

- A Imposing a tariff
- B Increasing interest rates
- C Privatisation
- D Quantitative easing

Your answer

[1]

36 In response to a global recession, Central Banks in ten closely linked economies reduce interest rates by an average of 1.5%. What is the likely impact on one of these economies where its Central Bank decided to reduce interest rates by 0.5%?

- A Hot money will flow in, causing the exchange rate to appreciate
- B Hot money will flow in, causing the exchange rate to depreciate
- C Hot money will flow out, causing the exchange rate to appreciate
- D Hot money will flow out, causing the exchange rate to depreciate

Your answer

[1]

37 When will supply side policy be ineffective?

- A The marginal propensity to save is high
- B The real interest rate is close to zero
- C There is a large negative output gap
- D There is significant demand-pull inflation

Your answer

[1]

38 Using the table below, what was the inflation rate in 2017?

Year	Consumer Price Index
2014	98.2
2015	100.0
2016	103.4
2017	101.9
2018	103.6

- A -1.50%
- B -1.45%
- C 1.47%
- D 1.90%

Your answer

[1]

The commitments made by the UK's main political parties in the 2019 General Election campaign marked an end to the austerity economics that had dominated macroeconomic policy for the previous decade.

Following the global financial crisis in 2008, many of the world's advanced economies introduced a range of stimulus measures designed to promote economic recovery and end a period of recession. However, as the Greek economy began to collapse at the end of 2009, in part as a result of a national debt/GDP ratio of more than 120%, policy makers around the world began to fear their own economies were at risk because of unsustainably high levels of borrowing. With the UK's national debt/GDP ratio standing at 69% and forecast to increase to over 100% in the coming years, the Conservative-Liberal coalition came to power in 2010 to eliminate the budget deficit by implementing austerity – a deficit reduction programme focused on significant reductions in public spending and increases in tax revenue. The policy was seen to be crucial in promoting future economic growth and stability. Fig. 1.1 illustrates the impact austerity had on the size of the budget deficit and national debt.

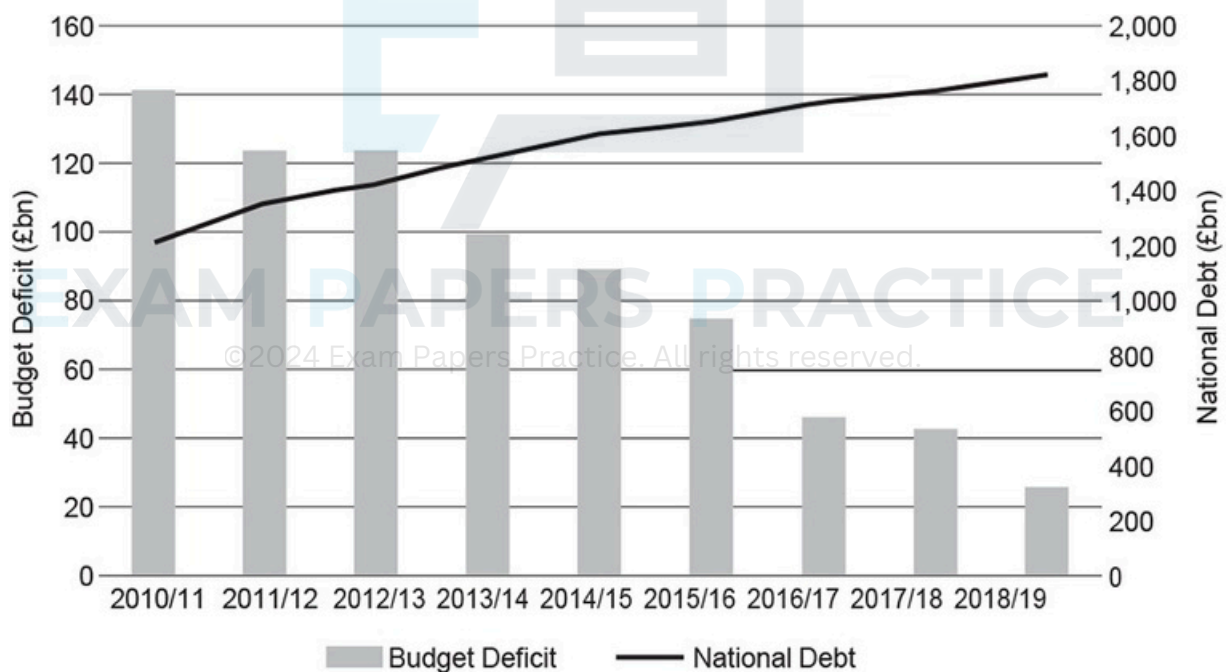


Fig. 1.1 – UK Government's Budget Deficit National Debt 2010–2019

However, in the 2019 General Election campaign both the Conservative government and its main challenger, the Labour Party, made significant public spending commitments that represented a significant shift away from austerity. The Conservatives promised an £11bn increase in public expenditure by 2024, including pledges to increase expenditure on the NHS, police and schools, whilst also committing to tax cuts for low paid workers. These plans were modest in comparison to the spending commitments by Labour, who pledged to increase public expenditure by £153bn.

Individual policies included a 5% pay rise for public sector workers, a green transformation fund to spend on projects such as insulating 27 million homes, compensating the 'WASPI' (Women Against State Pension Inequality) women who had seen an unexpected cut to their state pension entitlements as a result of the state pension age for women being increased to match that for men and the building of social housing.

25

Both parties moved away from targeting to eliminate the overall budget deficit and instead sought to make a distinction between current and capital expenditure, arguing that achieving a current budget balance should be the new target. Labour committed to meeting this target within five years whilst the Conservatives aimed to achieve it in three.

Whilst the victory of the Conservative Party in the election meant the likely change in direction of macroeconomic policy was not as sharp as it might otherwise have been, it is undoubtedly the case that, after almost a decade of policy designed primarily to eliminate the budget deficit, government borrowing was set to increase. Whilst some economists point to low costs of borrowing for the government and the relatively low national debt/GDP ratio in the UK in comparison to many other developed economies as evidence that increased government spending can be justified providing it is on capital expenditure, others argue that this risks the hard-earned reputation of fiscal responsibility being destroyed.

30

35

Extract 2 – Ownership of public utilities

Amongst the most eye-catching proposals in the Labour Party's manifesto was its commitment to bringing a range of public utilities under government control. The proposal was to nationalise a range of key industries that had been privatised under the Conservative government in the 1980s and early 1990s, which sparked fierce debate over whether the interests of consumers

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would be best served by these companies operating in the private or public sector.

5

Two such industries are the water and electricity industry, which were privatised in 1989 and 1990 respectively. The government at the time saw privatisation as essential to boost the performance of the UK economy, arguing the discipline of the marketplace would create competition that would drive efficiency, raise revenue for the government and ultimately bring prices down for consumers. However, thirty years on, some argue privatisation has failed to achieve its stated aims. Fig. 2.1 illustrates what has happened to the price of water and electricity since privatisation.

10

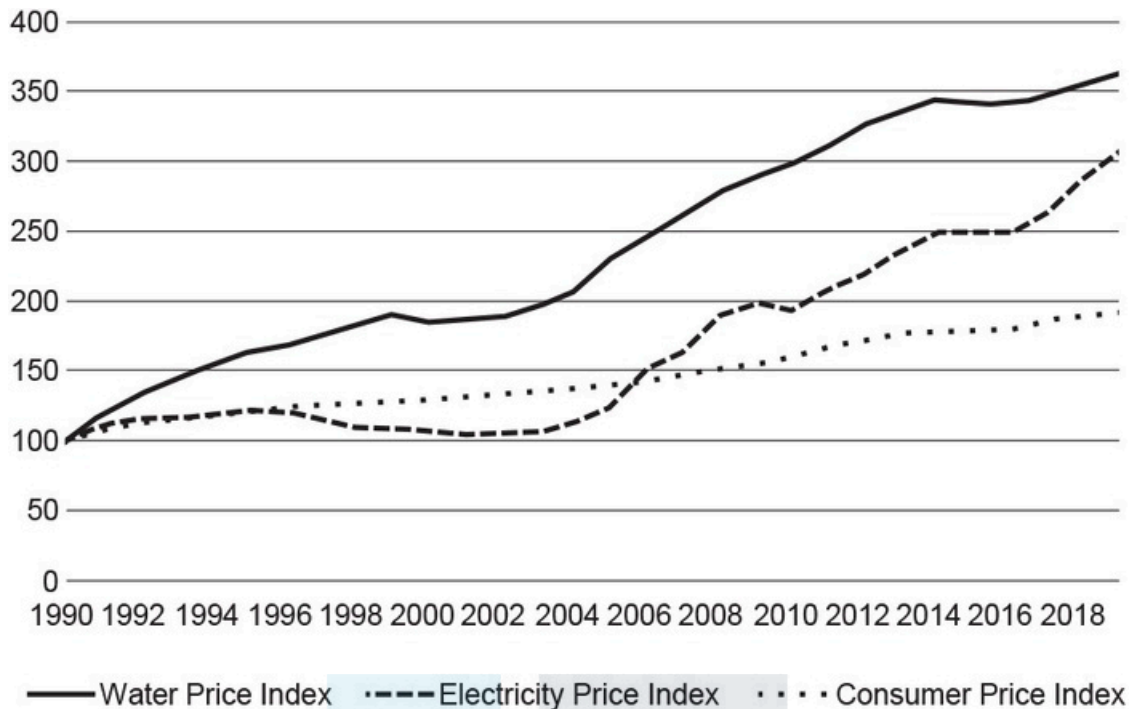


Fig. 2.1 – Electricity, Water and Consumer Price Index 1990–2018 (Base Year 1990 = 100)

The Labour Party also argued that bringing these utilities into the public sector would enable the significant investment to occur that private firms had not been incentivised to undertake, pointing to the slow renewal of London’s water mains by Thames Water and the patchy investment in universal national high-speed broadband coverage by BT as evidence of this. They suggested that the different incentives and objectives that exist between public sector and private sector firms provided a strong case for nationalisation of these private sector monopolies.

15

The Conservative government however argued the £170bn bill that would be incurred from nationalising the public utilities could not be justified, and that both efficiency and consumer welfare would be better served from these industries remaining in the private sector but with tighter regulation, such as the energy price caps introduced at the start of 2019.

20

Extract 3 – Do we need to stop flying to save the planet?

A rare area of agreement between the political parties in the General Election campaign was the need to take action to tackle climate change. Since 1970, global CO₂ emissions have increased by around 90% and the resultant impact of global warming, be it rising sea levels or more intense heatwaves, is becoming increasingly damaging to communities around the world.

In June 2019, the UK became the first major nation to pledge to have net zero carbon emissions by 2050. This was praised by environmentalists who hoped this would encourage other countries to follow the UK’s lead by making similar commitments. The commitment was maintained by the Conservative Party in the 2019 General Election whilst the Labour Party went further, setting a

5

target of net zero carbon emissions by 2030.

In order for these targets to be achieved, significant change will need to be seen in a number of industries. Fig. 3.1 illustrates the causes of fossil fuel emissions by sector.

10

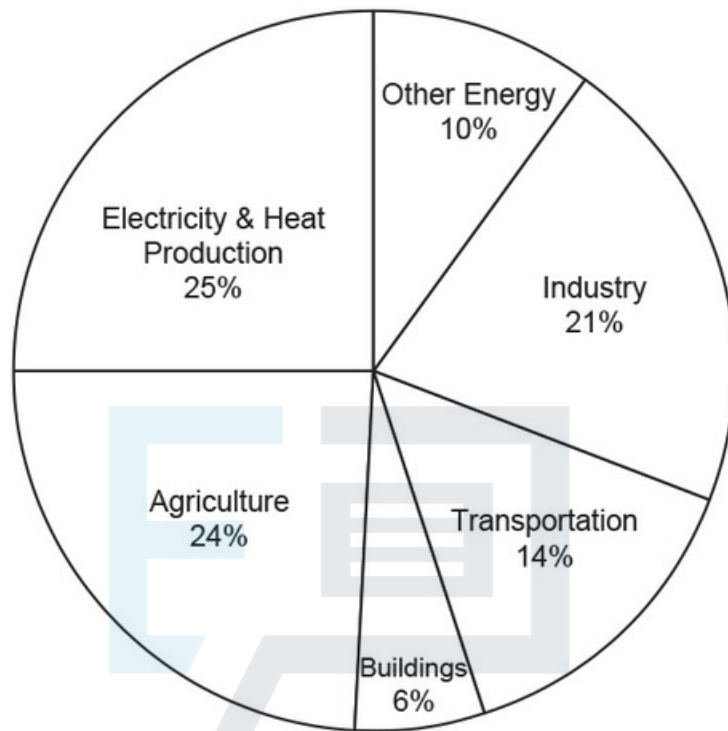


Fig. 3.1 – Fossil fuel emissions by sector

One of the areas most targeted for reducing emissions is the aviation sector. Increasing incomes around the world have significantly increased the demand for air travel, which has particularly harmful impacts on emissions – a journey by plane generates more than twenty times the amount of CO₂ emissions compared to travelling the same distance by train. The relationship between passenger journeys by air and carbon emissions is shown in Fig. 3.2.

15

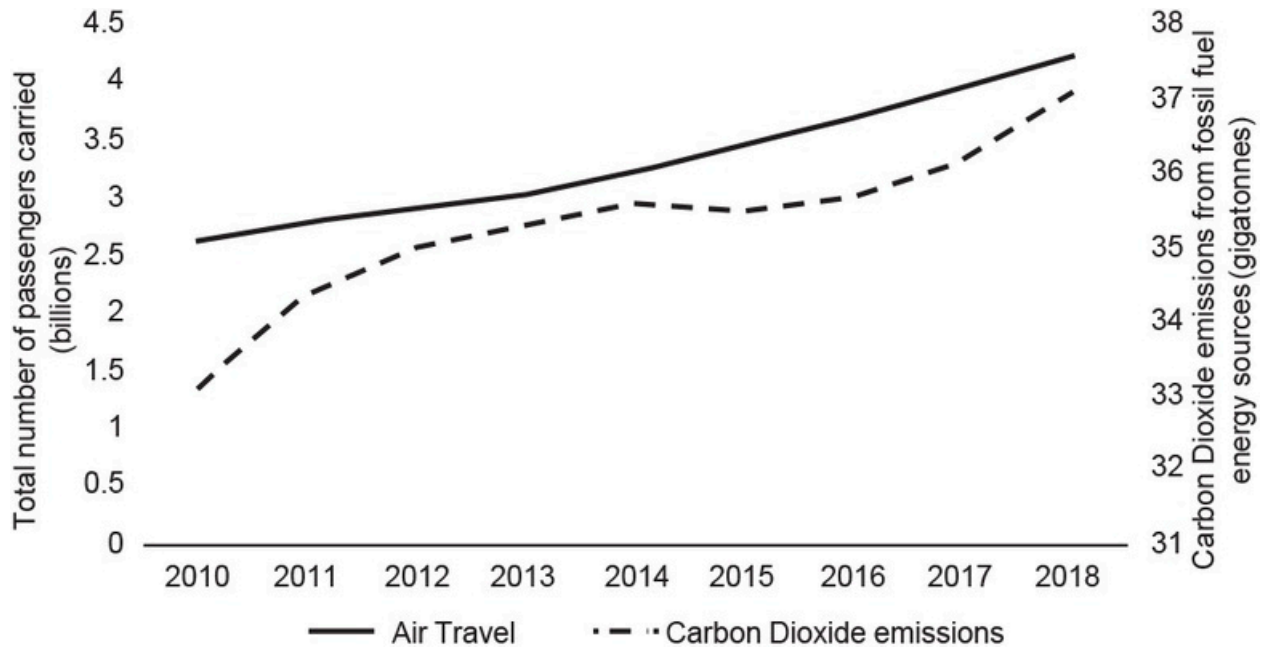


Fig. 3.2 – Air passenger journeys and carbon emissions 2010–2018

A proposal made by some environmental lobbyists is for the government to legislate to limit all individuals to one return flight per year. It is argued this would help reduce the negative externalities associated with air travel and make a substantial contribution to addressing the challenge of climate change. However, business groups remain concerned about the detrimental impact such an action would have on the UK's status as a global centre of financial services, more broadly suggesting it would limit the potential gains from globalisation that are needed to generate future economic growth. Such groups argue such extreme action is not necessary when there remain less damaging alternative policy solutions to reduce global emissions.

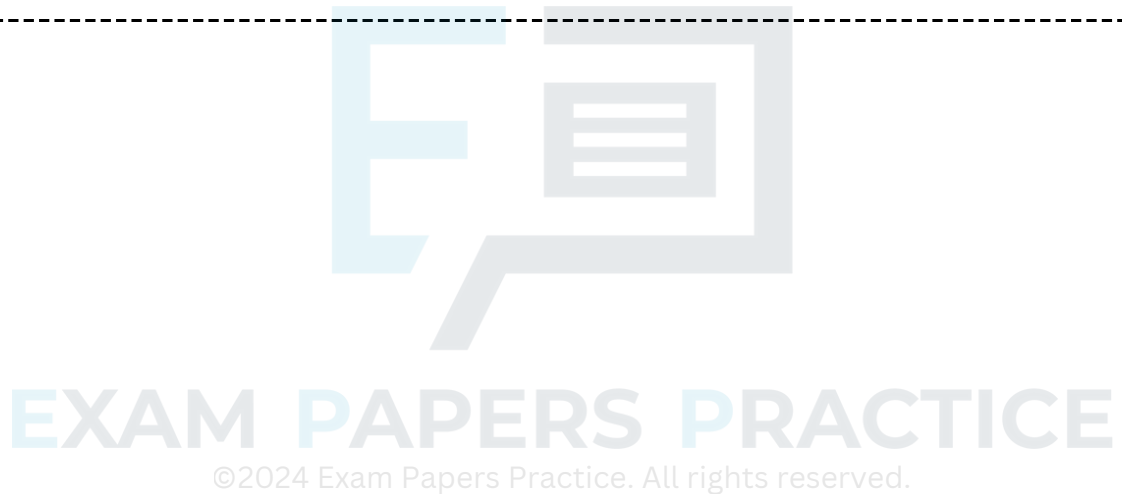
20

Please refer to insert H460-03 October 2020 which can be downloaded separately and is included above. Using Fig. 1.1, explain the relationship between the budget deficit and national

[2]

- 40 Please refer to insert H460-03 October 2020 which can be downloaded separately and is included with Q31. Explain, using an example from Extract 1, what is meant by capital expenditure.

[2]



41(a)

Are low-income countries playing catch up?

The global economy is changing. It is becoming more integrated and China is moving towards becoming the world's largest economy. Lower costs of transport continue to increase the volume of international trade. Producing in different countries and buying products from anywhere in the world are being made easier by advances in communications.

- 5 World trade grew by 4.4% in 2017 and is predicted to grow by 4.7% in 2018. China is accounting for a higher proportion of this global trade and a higher proportion of global output. The country has experienced a significant rise in its GDP per head in recent years. This has had an impact on its citizens' life expectancy. Fig. 1 shows the average income and life expectancy in a number of countries.

Country	GDP per head (\$)		Life expectancy (years)			
Bangladesh	4200	16700	73.7	75.8	73.2	80.9
China Egypt	12700	50800	62.1	85.5	80.9	80.1
Germany	2200	42900				
Guinea	44300	59800				
Japan UK						
USA						

Fig. 1 GDP per head and life expectancy in selected countries 2017
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- 10 Developments in the Chinese economy can be illustrated by both movements in the country's production possibility points and in the position of the production possibility curve as shown in Fig. 2.

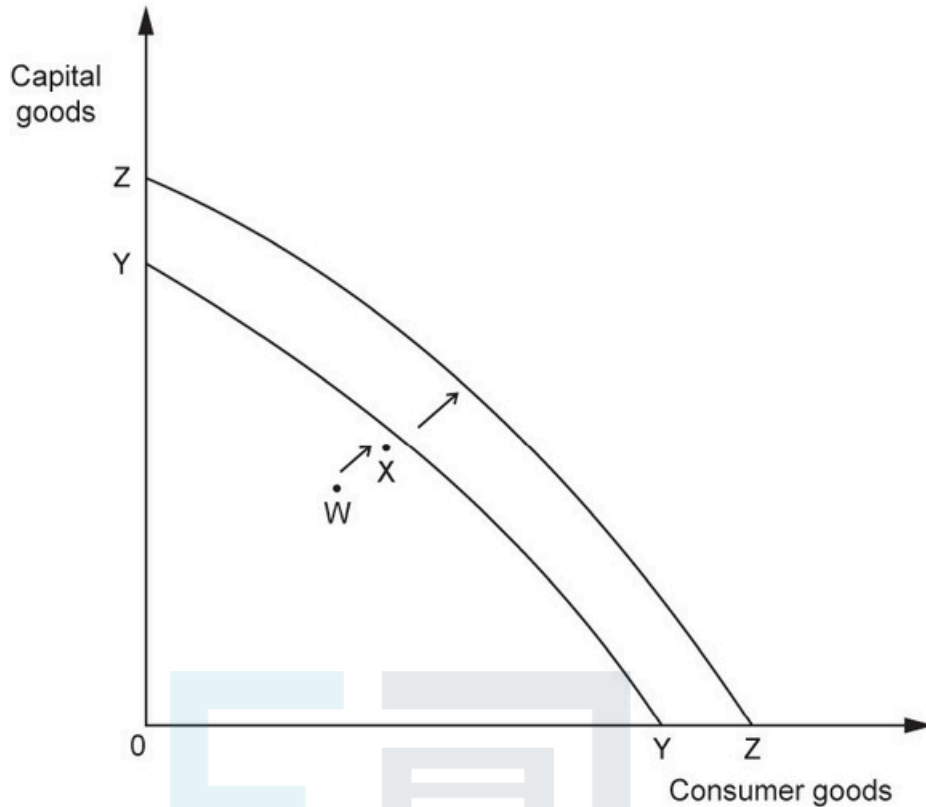


Fig. 2 A country's production possibility curve and points

The Bangladeshi economy has also grown in recent years, but its growth has been more erratic. In 2017, the country's main export destinations were the USA, Germany, UK and France. Its main sources of imports were China, India, Singapore and Japan. In 2017, the value of its exports to the UK was £2251 m while the value of its imports from the UK were £190 m. Bangladesh is also a recipient of UK overseas aid. In 2016, the UK government spent £13.4bn on overseas aid, in line with its target of 0.7% of GDP. Bangladesh was the 11th largest recipient, receiving £170 m. Fig. 3 provides some more information on the Bangladeshi economy.

	\$
Consumer expenditure	billion
Exports	191 50
Government spending	13 76
Investment	68 25
Imports	
Tax revenue	

Fig. 3 Details on the Bangladeshi economy 2017

20 Bangladesh's finance minister suggested in 2017 that he would cut the country's corporate tax

rates as they are much higher than most other countries. He argued that such a move would increase the country's rate of economic growth.

Some economists suggest that low-income countries are likely to grow more rapidly than high-income countries. Fig. 4 shows GDP per head and economic growth rates of a number of countries.

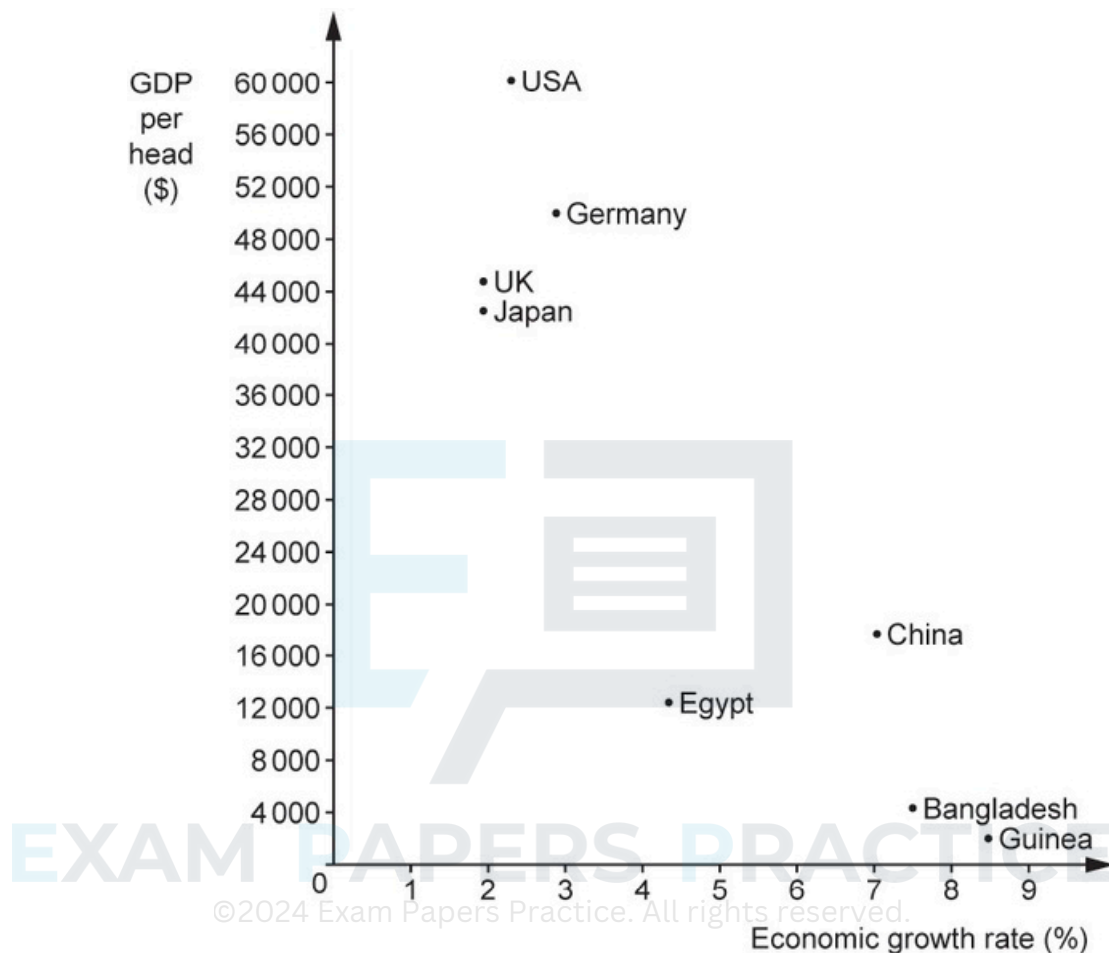
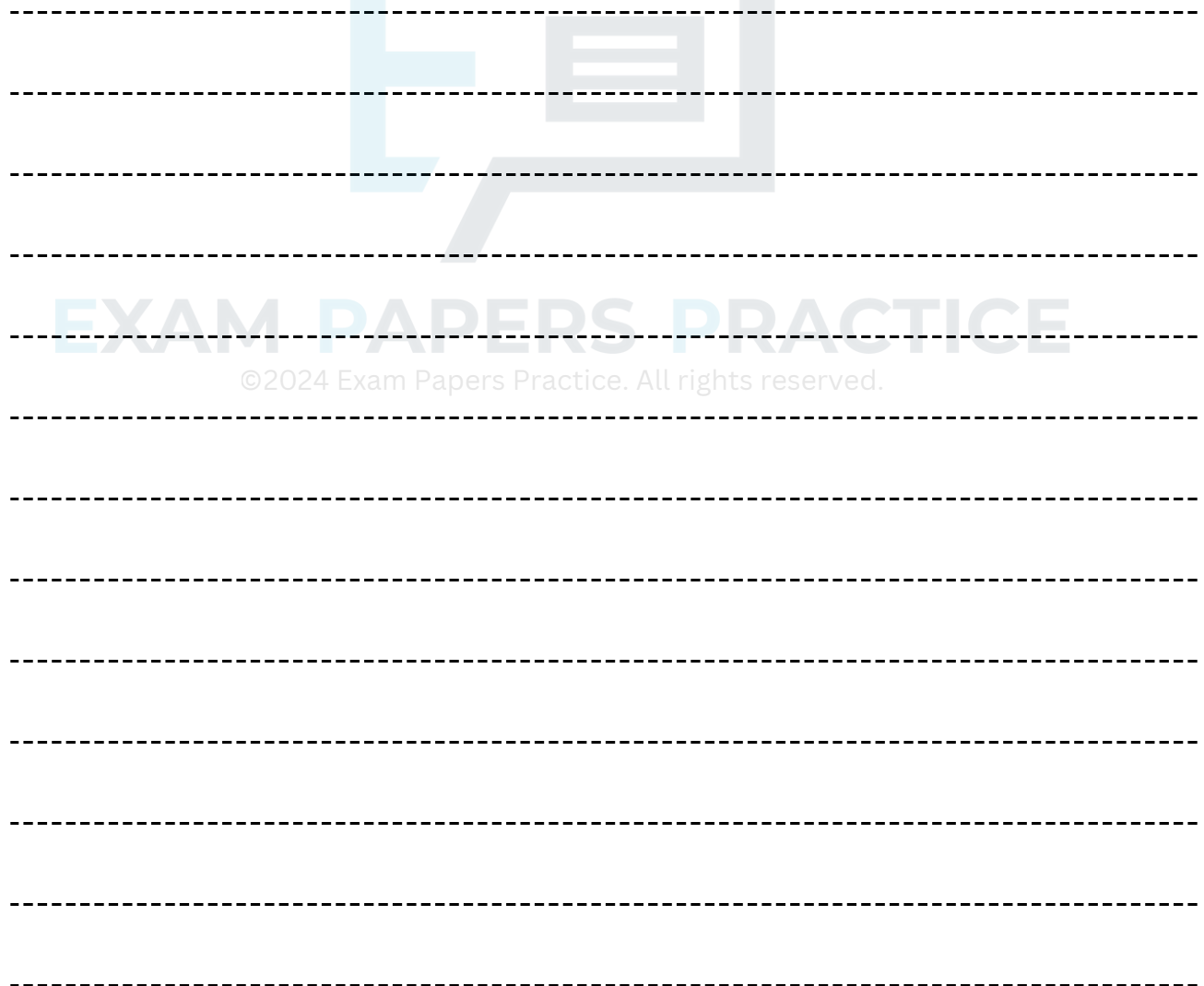


Fig. 4 GDP per head and economic growth rate of selected countries 2017

- 25 People in low-income countries may have a greater incentive to work hard to improve their living standards. Perhaps more significantly, the countries may be able to take advantage of technology transfer from high-income countries and their relatively low wages may attract foreign direct investment. The countries may also have greater potential to reallocate resources from low to high value activities.
- 30 To date, Asian countries have been more successful in narrowing the income gap than African countries. A number of African countries have poor infrastructure, low labour productivity, rapidly growing populations and a lack of economic and political stability.

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- 42 * In recent years, the UK government has cut both corporation and income tax rates. The 2013 cut in the top rate of income tax from 50% to 45% has been estimated to have reduced government tax revenue by £8.6bn between 2013/14 and 2017/18.

Evaluate whether a cut in direct tax rates will always reduce tax revenue.



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44(a) **Are we moving towards a cashless society?**

Recent years have seen a change in both the amount consumers spend and how they make their payments. How much consumers spend is influenced by a variety of factors. These include changes in income and changes in confidence. During an economic boom, consumer expenditure is likely to be high. Indeed, an economic boom is often consumer-led. In contrast, consumer expenditure can fall to a low level during a recession. Fig. 1 shows how consumer expenditure can vary as income changes.

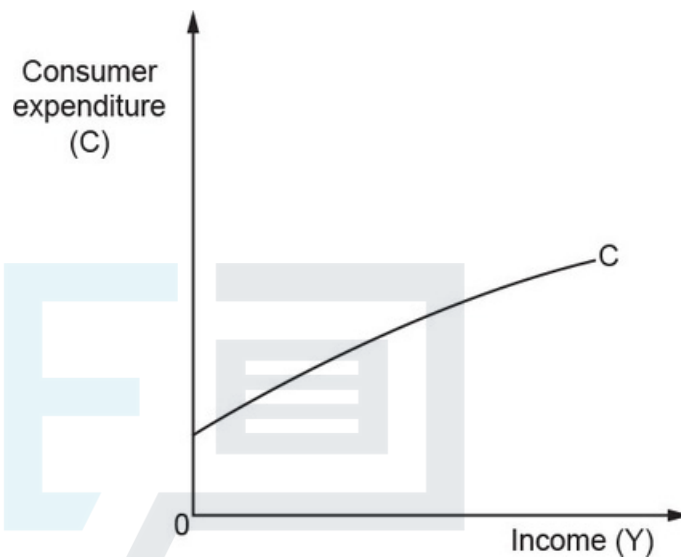


Fig. 1 The relationship between changes in income and changes in consumer expenditure

Changes in injections and leakages can alter a country's income. It has been estimated, for instance, that an injection of \$200m of government spending in the Swiss economy would cause a rise in GDP of \$300m.

- 10 The proportion of payments made in cash in Switzerland is declining. It is also falling in the UK. In 2005, 70% of payments in the UK were made in cash. By 2015, this had fallen to 50% and is forecast to decline to 30% by 2025. The extent to which cash is used influences the number of banknotes printed and in circulation. Fig. 2 shows the value of banknotes in circulation in the UK over a five year period.

Year	£5	£10	£20	£50	Total
2014	1 540	7 182	36 483	11 025	56 230
2015	1 601	7 371	38 912	11 788	59 672
2016	1 645	7 767	41 037	13 157	63 606
2017	1 912	8 006	43 357	15 601	68 876
2018	1 910	7 789	42 692	16 508	68 899

Fig. 2 The value of banknotes in circulation (£million) 2014 –2018

- 15 Some central banks favour ending the use of cash. One reason is because of the role that cash plays in a number of criminal activities including money laundering and drug dealing. A more significant motive is probably to enable central banks to charge negative interest rates when needed to stimulate economic activity. If people and banks can take money out of their deposits and hold them as cash, negative interest rates are likely to have less power to encourage an
- 20 increase in spending.

- Negative interest rates involve commercial banks having to pay to hold deposits at the central bank. As commercial banks often have excess funds held at the central bank, a negative interest rate may encourage them to lend the funds instead. If commercial banks pass on the negative rates to their customers, people will have to pay to save. Negative interest rates would have an
- 25 impact on borrowing, the cost of servicing government debt and probably on the exchange rate.

A number of central banks, including the Bank of Japan, the Swiss National Bank, Denmark's National Bank and the European Central Bank (ECB) have used negative interest rates in a bid to avoid deflation. These banks received some criticism for the effect that the negative interest rates had on confidence, saving and bank profitability.

- 30 The Bank of England has yet to introduce a negative interest rate. Fig. 3 shows how the UK interest rate has changed in recent years.

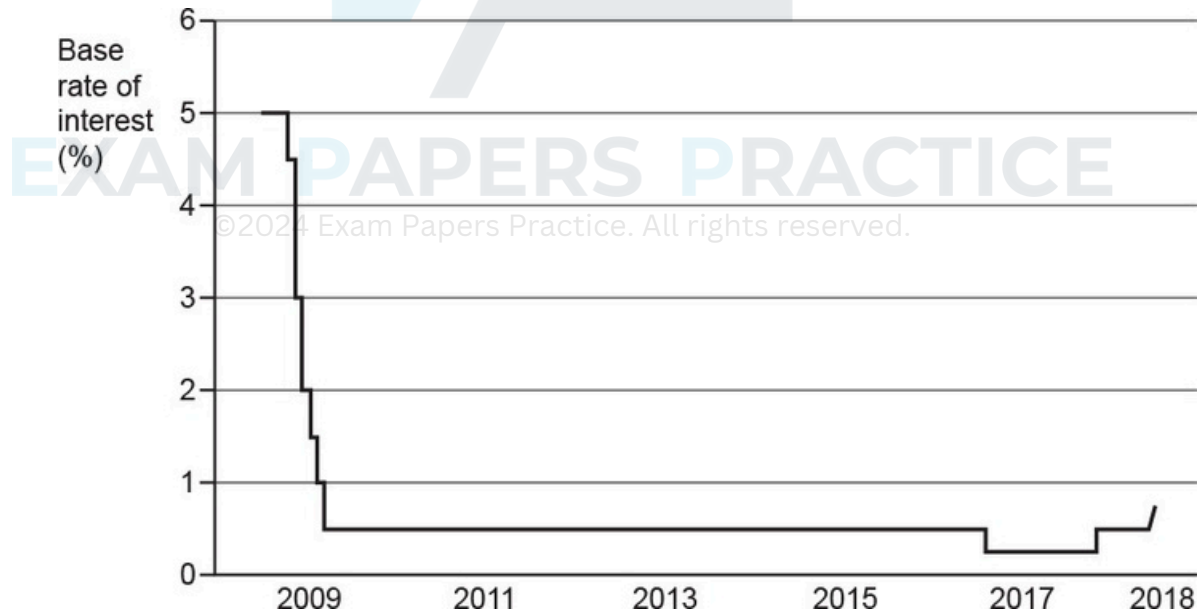


Fig. 3 UK interest rates 2009–2018

- While the ECB has stopped producing its €500 note, the Bank of England has not yet scrapped any notes. Getting rid of cash is likely to affect the poor most. Nearly 1.5 million UK adults do not have a bank account and most of these are poor. Some of them are unemployed. The number of
- 35 people unemployed may increase during a recession. The impact on unemployment will depend



on a number of factors. These include firms' stock levels, the length of the recession, how easily firms can adjust working hours and the number of people they employ and whether the numbers in the labour force stay the same.

Using Fig. 3, explain what is likely to have happened to UK share prices at the start and the end of the period shown.

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